



MARKET MONITOR

No. 43 – November 2016

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Roundup

Against a backdrop of ample global supplies and generally good weather conditions favouring plantings of crops due for harvest next year, movements in international prices of all four AMIS crops are largely driven by short-term market events, including unseasonably strong trade activities and exchange rate movements. Based on the latest forecasts, global markets will remain well supplied at least until the end of the current marketing season.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	■	▼
Rice	■	■
Soybeans	■	▼

▲ Easing

■ Neutral

▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** production in 2016 upgraded, reflecting increases in the Russian Federation and Ukraine on better yields.
- Utilization in 2016/17 raised, mostly on expectation of higher feed use because of ample supplies of low quality wheat.
- Trade forecast for 2016/17 (July/June) raised with low prices seen to encourage larger imports.
- Stocks (ending in 2017) up slightly, now 4 percent higher than at the start of the season with largest y/y increases anticipated in China, the Russian Federation and the US.

WHEAT

	FAO-AMIS*			USDA		IGC	
	2015/16	2016/17		2015/16	2016/17	2015/16	2016/17
	est.	f'cast		est.	f'cast	est.	f'cast
	6 - Oct	10 - Nov		09-Nov		27-Oct	
Production	734	742	747	735	745	737	748
Supply	946	968	972	953	986	942	970
Utilization	716	730	733	712	737	720	736
Trade	168	165	168	172	174	164	167
Stocks	226	234	235	241	249	222	233

in million tonnes

- **Maize** 2016 production lowered following a downgrading of yields in Brazil, China, the EU and the US.
- Utilization forecast for 2016/17 lowered, reflecting a cut in feed use; however total use is seen to expand by 2 percent from 2015/16.
- Trade forecast for 2016/17 (July/June) scaled up, supported by stronger import demand in the EU and Viet Nam.
- Stocks (ending in 2017) revised lower, largely on reduced forecasts for China and the US.

MAIZE

	FAO-AMIS*			USDA		IGC	
	2015/16	2016/17		2015/16	2016/17	2015/16	2016/17
	est.	f'cast		est.	f'cast	est.	f'cast
	6 - Oct	10 - Nov		09-Nov		27-Oct	
Production	1007	1029	1025	960	1031	971	1035
Supply	1230	1243	1240	1168	1240	1179	1244
Utilization	1009	1032	1030	959	1022	969	1023
Trade	139	136	137	120	144	136	133
Stocks	215	209	208	209	218	209	221

in million tonnes

- **Rice** production in 2016 changed marginally, as an upward adjustment for Thailand is largely offset by downscaled prospects for Sierra Leone and Viet Nam.
- Utilization in 2016/17 trimmed, but still pointing to a 1.2 percent y/y rise due to expanding food use.
- Trade in 2017 downgraded somewhat on reduced export prospects for the US, Thailand and Viet Nam.
- Stocks (ending in 2017) to fall modestly, as cuts in Bangladesh, India and Thailand are compensated by buildups in China, the Republic of Korea and the US.

RICE

(milled)

	FAO-AMIS*			USDA		IGC	
	2015/16	2016/17		2015/16	2016/17	2015/16	2016/17
	est.	f'cast		est.	f'cast	est.	f'cast
	6 - Oct	10 - Nov		09-Nov		27-Oct	
Production	491	498	498	472	484	472	484
Supply	666	669	669	587	600	587	598
Utilization	495	501	501	470	478	473	482
Trade	43.1	43.8	43.4	39.7	41.0	41.0	41.0
Stocks	171	170	170	116	122	114	117

in million tonnes

- **Soybean** 2016/17 production raised further on higher yield estimates in the US and Canada and improved forecasts for Brazil and Argentina.
- Utilization forecast for 2016/17 basically unchanged, with China, Brazil and Argentina driving a y/y expansion of about 5 percent.
- Trade forecast for 2016/17 adjusted upward slightly, although still pointing to a below-average y/y growth.
- Stocks (2016/17 carry-out) revised up on higher forecasts for the US and Brazil, but global reserves would drop 9 percent from last season to a three-year low.

SOYBEANS

	FAO-AMIS*			USDA		IGC	
	2015/16	2016/17		2015/16	2016/17	2015/16	2016/17
	est.	f'cast		est.	f'cast	est.	f'cast
	6 - Oct	10 - Nov		09-Nov		27-Oct	
Production	315	330	333	313	336	315	332
Supply	358	371	375	392	413	353	365
Utilization	318	334	334	316	329	320	332
Trade	134	137	138	132	139	133	138
Stocks	41	38	39	77	81	33	33

in million tonnes



FAO-AMIS monthly forecast

* FAO-AMIS forecasts are based on information as of late October 2016. The latest revisions to FAO-AMIS monthly forecasts for 2016/17 are detailed on page 2. To review and compare data, by country and commodity, across the three main sources, go to: <http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2016/17

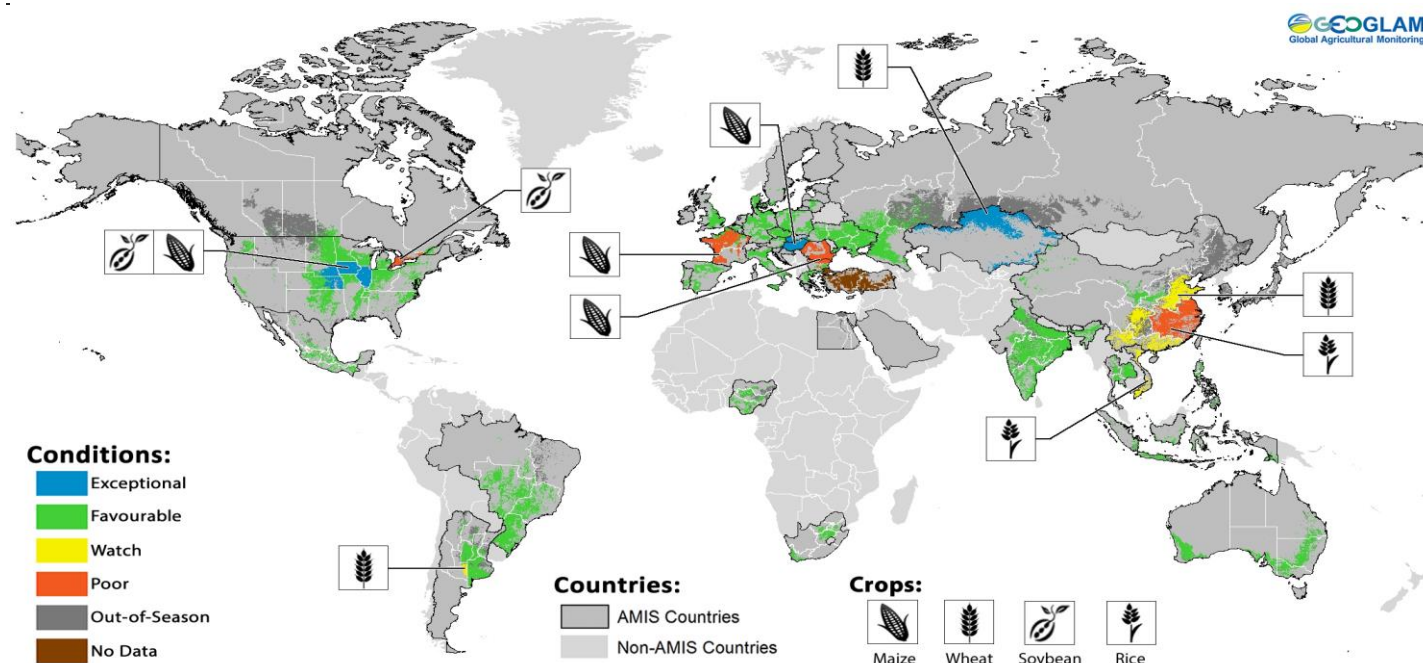
in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	4311	3015	2950	3010	1055	-4754	990	-2011	1000	-1269
Total AMIS	4295	2700	2899	3010	675	-5963	670	-3130	1000	-1807
Argentina	-	-	-	-	-	-	-	-	-	-
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	37	-	37	-100	50	-1643	-	357	-1000	-1000
Canada	1044	-	206	500	1000	821	-	-486	200	900
China Mainland	-	-	-	-	-	-2000	-	-1000	-	-1320
Egypt	-	-	-	-	-200	-	-	-	-	-
EU	-	-	-	-	-	-2500	800	-1500	-	1000
India	-	500	850	-600	-	-	-	-	200	40
Indonesia	-	-300	-290	-40	100	100	-200	-500	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	500	-	-200	1000	-1000	100	-	-	-	100
Mexico	-	-	-	-	-	-111	-	-111	-	-
Nigeria	-	-	-	-	-	-469	-	-469	-	-
Philippines	-	-	-	-	-	300	-100	110	-	-40
Rep. of Korea	-	-	-	-	-	-	-	-	-	-69
Russian Fed.	2500	400	2000	-	-682	560	70	-268	400	150
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	51	-450	-49	50	100	240	-700	140	-	-400
Thailand	-	-	-	-	-	-129	-	-129	-	-
Turkey	-	-	-150	200	-150	-	-	-	-	-200
Ukraine	460	1950	2000	1500	410	-456	-	-	-300	-156
US	-297	200	-1905	500	1047	-902	-	-	1500	-1612
Viet Nam	-	400	400	-	-	126	800	726	-	800

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	142	-355	-193	-350	316	3631	671	454	770	1489
Total AMIS	287	-220	-146	-350	508	3681	641	448	1100	1469
Argentina	-	-	-	-	-	400	-	100	200	-100
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-	-	-	50	-	943	-	100	-200	853
Canada	-	-	-	-	-	402	-	305	100	15
China Mainland	-	-	-	-	-	100	-	-500	-	200
Egypt	-	30	30	-	100	-	-	-	-	-
EU	-	-	-	-	-	40	300	490	-	-
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	-200	-500	-	-	-284	41	-103	-	-100
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-5	300	200	-	-176
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-13	100	-13	-	50	-	-	-	-	-
Rep. of Korea	2	-	2	-	-	-	-	-	-	-
Russian Fed.	-	-	-	-	-	-	-	-10	-	10
Saudi Arabia	-	-100	-	-	-	-	-	-	-	-
South Africa	-	-50	-	-	-	-	-	-	-	-
Thailand	530	-	330	-100	200	-	-	-	-	-
Turkey	-	-	-	-	-	-20	-	-20	-	-
Ukraine	-	-	-	-	-	250	-	283	-	-33
US	-37	-	-	-100	58	1855	-	3	1000	800
Viet Nam	-195	-	55	-200	100	-	-	-	-	-

Crop monitor

Crop conditions in AMIS countries (as of 31 October)



Crop condition map synthesizing information for all four AMIS crops as of 31 October. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

La niña update

Borderline neutral-La Niña conditions in the equatorial Pacific Ocean are expected to persist through the end of 2016 and into early 2017, thereafter transitioning to a fully neutral state. Expected global precipitation impacts in this period are those characteristic of La Niña events. They include drier than normal conditions in southeastern South America, the southern United States, southwest Asia, southeastern China, and East Africa, while above-average rainfall is favored for southeast Asia, Australia, northern South America and southern Africa. Consistent with this outlook, heavy rainfall already fell throughout southeast Asia and failed October rains have already been experienced over much of East Africa.

Conditions at a glance

Wheat - In the northern hemisphere, winter wheat planting is almost complete under generally favourable conditions at this early stage of the season. Record yields are being reported in Kazakhstan for spring wheat. In the southern hemisphere, conditions are generally favourable for Argentina, Australia, Brazil, and South Africa.

Maize - In the northern hemisphere, conditions are mostly favourable as the season draws to a close. In the US, record production is expected. However, persistent dry conditions in France marked the end of a difficult season with well below average production. In the southern hemisphere, planting is underway under generally favourable conditions in Argentina, Brazil, and South Africa.

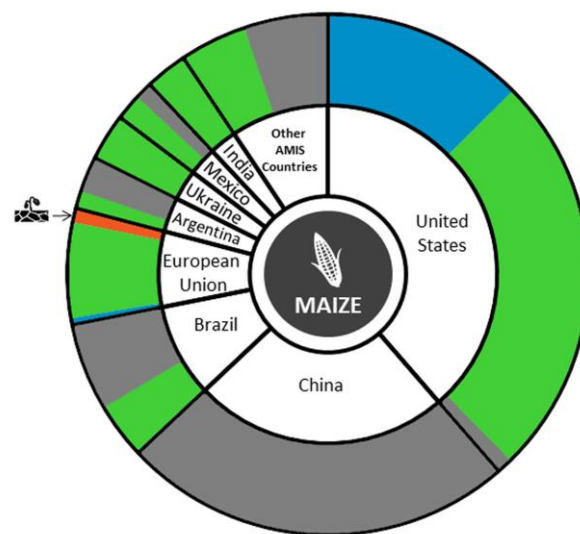
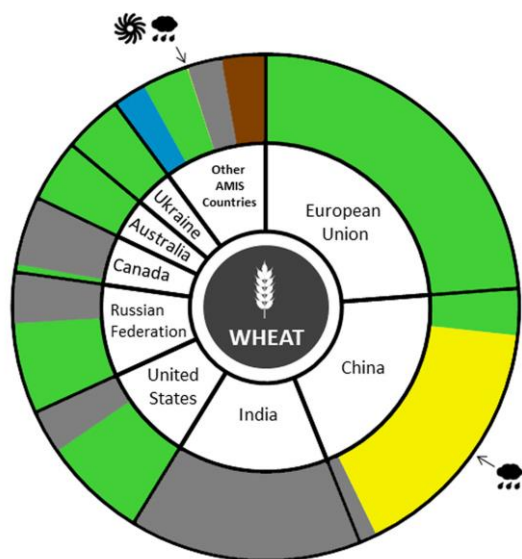
Rice - Rice conditions for Southeast Asia are generally favourable, most notably in India, Indonesia, the Philippines, and Thailand. However, there is some concern over recent heavy rainfall in northern Viet Nam and variable weather in the south of the country as well as concern for late rice in China due to persistently rainy weather throughout the season.

Soybeans - In the northern hemisphere, conditions remain generally favourable, with a record crop expected in the US. However, in Canada, dry conditions in Ontario have lowered yields. In the southern hemisphere, planting is ongoing in Brazil under favourable conditions.

Conditions:



Drivers:



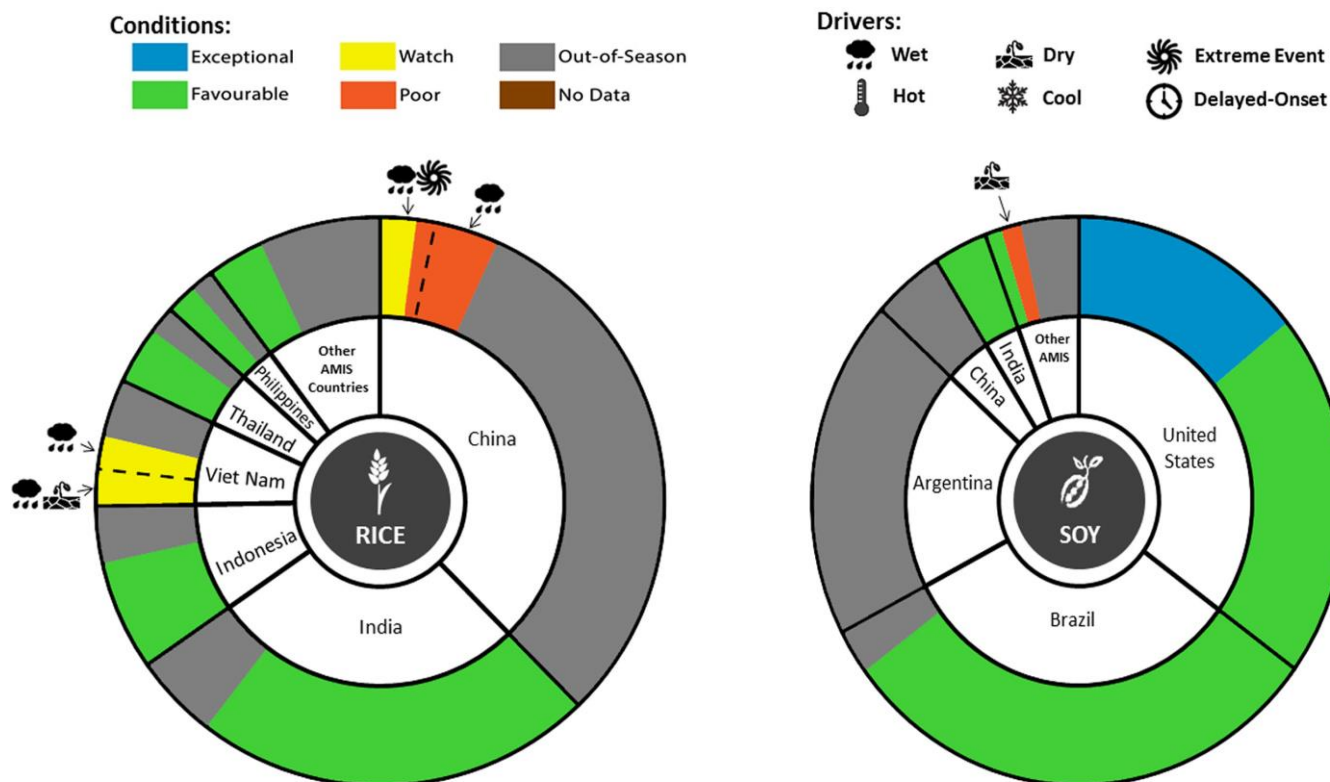
Wheat

In the **EU**, overall conditions are favourable at this early stage of the winter wheat season, however dry conditions in the west and abundant rains in Romania have delayed winter wheat sowing. In the **US**, winter wheat sowing is nearing completion and conditions are favourable. In **China**, continuously wet weather has adversely affected winter wheat in the central and southern regions, though it is still very early in the season. In **Canada**, winter wheat is under generally favourable conditions with only minor concern of area reduction due to wet fields during sowing in the Prairie Provinces. In **Ukraine**, winter wheat sowing has completed under generally favourable conditions. In **Kazakhstan**, spring wheat harvest is complete with record yields being reported. In **Australia**, conditions are favourable with average to above-average winter rainfall across the east. However, frosts during September and dryness in October are likely to limit yield potential in Western Australia, while localized flooding and waterlogging have resulted in some lost yield potential in southeast Australia. In **Argentina**, harvest has just begun in the north of the country with yields close to average despite the dry conditions earlier in the season. The main producing regions are under generally favourable conditions with spot areas of flooding in La Pampa and some minor frost in Buenos Aires.

Maize

In the **US**, harvest is well under way, and the Corn Belt is expecting particularly favourable to exceptional yields which is helping push total production to a record level. In the **EU**, heavy rains in the first half of October delayed part of the harvest in south-east Europe, while overall conditions are mixed due to persistent dry conditions in France. In **Ukraine**, harvest is over halfway complete with favourable yields reported. In **India**, where conditions are favourable owing to ample rains, only minor pockets of dryness are reported. In **Mexico**, planting of the spring-summer crop ended last month, and growing conditions remain favourable. In **Canada**, dry conditions in the largest producing province of Ontario resulted in just below average yields. In the **Russian Federation**, harvest is over half way complete under favourable conditions with yields about the same or above last year's. In **Nigeria**, conditions are favourable owing to average to above-average rainfall during the season. In **Brazil**, planting of the spring crop is advancing in the main producing regions under favourable conditions. In **Argentina**, planting of early maize is ongoing under favourable conditions due to good soil moisture, but some delays in planting have occurred.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 10 November 2016



Rice

In **China**, late rice is experiencing below average conditions due to continuously rainy weather and the impact of recent typhoons in the south. In **India**, conditions for the kharif crop are generally favourable owing to the good monsoon rains. In **Indonesia**, planting of the wet season rice has started earlier than normal due to favourable conditions created by the rainy season beginning earlier than usual in September. In **Viet Nam**, the seeding of the autumn-winter crop in the north is complete, but has been adversely affected by heavy rainfall. In the south, summer-autumn crop harvesting has begun with mixed conditions due to floods and low solar radiation. In **Thailand**, conditions improved significantly, as the wet season crop received sufficient rainfall and conditions are now favourable with only minor damage due to flooding in the north and northeast regions. In the **Philippines**, wet season rice planted in July-August is under favourable conditions due to average to above-average rainfall. In the **US**, harvest has been completed under favourable conditions.

Soybeans

In the **US**, harvest is drawing to a close, with exceptional yields and production levels that will surpass previous records, notably in Illinois, Indiana, Iowa, and Nebraska. In **Brazil**, planting is ongoing in the main production regions under mainly favourable conditions. In **Argentina**, the start of planting is delayed due to heavy rainfall in October that inundated fields and the roads needed for mobilizing the planting machines. In **India**, harvest began under generally favourable conditions owing to good monsoon rains. In **Canada**, harvest is wrapping up and production is expected to be near average as a result of increased harvested area and favorable production in Manitoba. Dry conditions during the growing season in the largest producing province of Ontario resulted in below to well below-average yields in that province. In **Ukraine**, harvest is nearing completion under favourable conditions, and a good crop is expected.

Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RICE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IIRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- After announcing in September the suspension of the wheat export duty until 1 July 2018, the **Russian** Ministry of Agriculture clarified on 5 October that the reinstatement of the measure was not ruled out in case of an emergency.
- **China** announced that it will maintain the 2017 minimum support price for wheat at its current level, i.e. CNY 2 360 (USD 349) per tonne. Under the scheme, the Government buys wheat from farmers at the state-set price when domestic prices fall below it in order to preserve rural incomes and domestic market stability.

Maize

- To remedy the domestic maize feed shortages that continue affecting the pork and poultry sectors in **Brazil**, the National Biosafety Technical Commission officially approved the imports of genetically-modified maize (Syngenta 3272, MON 87460, and MON 87427) from the United States. Moreover, the Brazilian Foreign Trade Chamber extended the duty-free exemption from the Common External Tariff currently applying to maize shipments from non-Mercosur suppliers until the end of December. The import limit is set at 1 million tonnes.
- On 20 October, **China** suspended auctions of maize from state reserves. Auctions will resume in May 2017 when sales of this year's crop come to an end.

Rice

- On 8 October, the **Nigerian** Customs Service dispelled recent claims about changing rice import policies by clarifying that importation through land borders remains banned. This ban, however, does not apply to imports through seaports, which are subject to extant charges.
- To incentivize rice stockpiling this season and stabilize farmgate prices in **Thailand**, the Rice Policy and Management Committee adjusted the staging of payments to farmers who agree to store their paddy on-farm as follows: farmers participating in the "On-Farm Pledging Program" will immediately receive 1,000 Baht (USD 28.61) per tonne for storing fragrant or glutinous rice on site; an additional payment of 500 Baht (USD 14.31) per tonne will only be effected after the rice is sold. Under "the Interest Rate Subsidy Program", participants will also receive a 4 percent interest subsidy for 91-180 days of storage.

Furthermore, on 22 September the Ministry of Commerce announced that it will continue withholding supply releases from the government stockpiles. An abundant harvest as well as sluggish demand have caused a significant decline in rice prices.

Soybeans

- **Argentina** announced that the previously scheduled reductions in soybean export taxes would be delayed until 2018. Between January 2018 and December 2019, the current 30 percent export tax will be subject to a 0.5 percentage point reduction on a monthly basis. To support soybean production, the Government also announced the introduction of a new subsidy payment to farmers in northern provinces, starting from March 2017, and equivalent to 5 percent of the soybean FOB price.
- As part of continued efforts to switch from maize to soybean production, on 20 October **China** announced plans to increase the soybean planting area to 9.3 million hectares by 2020, from 6.5 million hectares.

Across the board

- The **European Union** recently approved the expansion of the tariff rate quotas (TRQs) allocated to a number of agricultural products from Ukraine. In the grains sector, the European Parliament and the Council of Europe approved the opening of annual duty-free TRQs of 100 000 tonnes of wheat, 650 000 tonnes of maize and 650 000 tonnes of barley, in addition to the pre-existing duty-free TRQs (i.e., 950 000 tonnes of wheat, 400 000 tonnes of maize, and 250 000 tonnes of barley). The measure will mostly benefit common wheat, rolled or flaked wheat, wheat meal, maize and maize meal. These enhanced market access opportunities are due to expire in 3 years.
- Following a decision taken by the Ministry of Commerce on 23 September, **China** imposed a 33.8 percent duty on imports of distillers dried grains with solubles (DDGs) from the United States, causing a decline in DDGs imports. Soybean meal being a common substitute for DDGs, China's soybean imports are expected to grow.
- On 4 October, the **United States** Department of Agriculture announced safety-net payments of more than USD 7 billion due to low commodity prices during the 2015 crop year. Eligibility for such payments is limited to farmers who enrolled under the Agriculture



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Risk Coverage or the Price Loss Coverage Programs for base acres of maize, soybeans, wheat, rice, barley, grain sorghum, lentils, oats, peanuts, dry peas and canola. Specific payment rates will be announced in the coming months.

Biodiesel

- On 15 September, a ruling by the European General Court nullified the anti-dumping duties imposed by the **EU** on biodiesel imports from Argentina and Indonesia. The ruling will come into force on 26 November.
- On 26 October, the WTO Dispute Settlement Body adopted the Appellate Body report on the **EU** anti-dumping duties on biodiesel imports from Argentina, with a recommendation that the EU measure be brought into conformity with WTO rules.
- On 26 October, **Peru** imposed anti-dumping duties on biodiesel imports from Argentina. These duties are charged at variable rates depending on the exporting firm in Argentina. The measure is expected to expire in 2021.



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International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Oct 2016 Average*	% Change	
		M/M	Y/Y
GOI	192	- 0.5%	+ 1.6%
Wheat	159	+1.2%	- 9.5%
Maize	182	+0.6%	+2.8%
Rice	146	-2.7%	-3.3%
Soybeans	200	-1.7%	+9.5%

*Jan 2000=100, derived from daily export quotations

Wheat

While average export prices crept slightly higher, a generally weak tone continued to prevail in world wheat markets. Pressure continued to stem from heavy supplies, strong competition for any export business and expectations for a further accumulation of carryover stocks at the end of 2016/17. Some price underpinning came from sustained uncertainty about availabilities of the best quality milling wheat, exacerbated by wintry weather that impeded the conclusion of the harvest in Canada, as well as untimely frosts and wetness that were seen potentially causing some downgrading in Australia. Signs that 2017/18 plantings will likely remain relatively high in most countries added to generally bearish sentiment, although overly dry weather for recently sown crops in parts of the US, Europe and the Black Sea region was noted.

Maize

The IGC GOI maize sub-Index increased by nearly 1% m/m, with higher export prices in the US and South America outweighing declines in the Black Sea region. US prices were boosted by robust export demand, although gains were limited by increasing farmer selling as the harvest advanced. Despite relatively thin spot demand amid competition from the US, old crop prices in South America edged higher. Black Sea values were marginally lower, but there was some support from solid buying interest from the EU and logistical

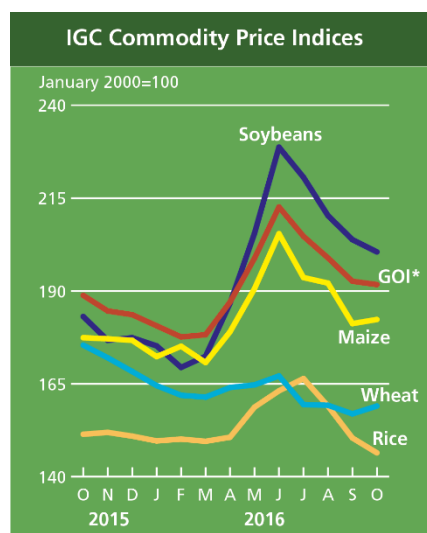
difficulties in Ukraine, partly because of tight railcar availability.

Rice

Pressured by thin international demand for white and parboiled rice, together with progressing harvests in several leading exporters, the IGC GOI rice sub-Index softened by around 3% during October, with prices at some Asian origins at close to nine-year lows. However, losses in Vietnam were capped by concerns about summer-autumn crop prospects following earlier rains, while quotations in Pakistan firmed slightly against the backdrop of tightening supplies. Outside of Asia, milled rice values at the US Gulf eased on ample spot availabilities and limited buying interest from traditional importers.

Soybeans

Global soybean values were again weaker during October, the IGC GOI sub-Index falling for the fourth consecutive month, albeit still some 10% higher y/y. Although there was underpinning from firm buying interest from China and other importers, together with strength in vegetable oil prices, markets were weighed by prospects for a record US outturn, harvesting of which was almost 90% complete by the end of the month. In South America, too, the advance of fieldwork pressured, with plantings in key producing areas of Brazil well ahead of a year earlier and average.

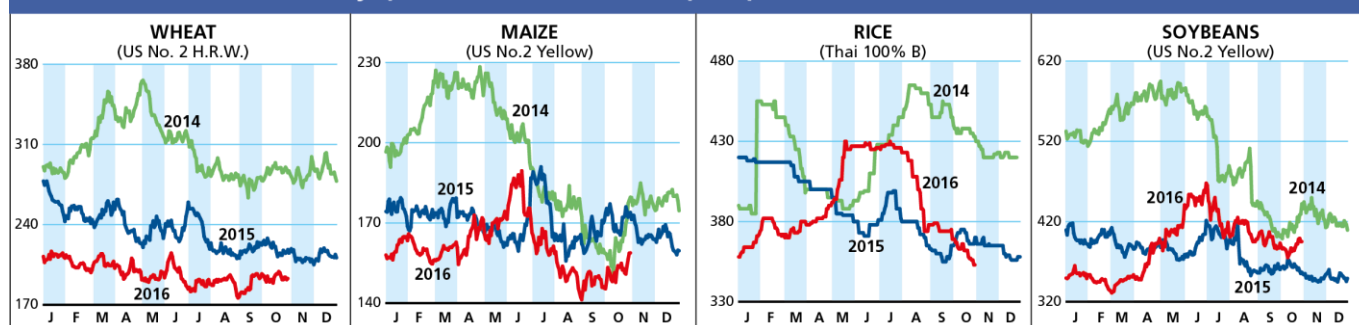


*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100))				
2015	October	188.8	175.4	177.4	151.4	183.1
	November	184.6	172.0	177.1	151.9	176.7
	December	183.6	168.3	176.7	150.9	177.4
2016	January	180.6	164.5	172.3	149.6	175.2
	February	177.6	161.9	175.1	150.1	169.4
	March	178.2	161.4	170.7	149.5	172.4
	April	187.0	164.0	179.0	150.6	186.7
	May	198.8	164.7	190.6	158.7	205.5
	June	212.6	167.1	205.4	163.1	228.7
	July	204.7	159.4	193.6	166.4	220.6
	August	198.9	159.2	192.1	159.0	210.3
	September	192.6	156.9	181.2	150.4	203.8
	October	191.7	159.0	182.3	146.4	200.5

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2014-2016)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne) (.....)							
Wheat (US No. 2, HRW)	07-Nov	190	193	190	218	-1.6%	-12.8%
Maize (US No. 2, Yellow)	07-Nov	154	159	148	169	-3.1%	-8.9%
Rice (Thai 100% B)	07-Nov	348	353	364	366	-1.4%	-4.9%
Soybeans (US No.2, Yellow)	07-Nov	389	395	386	351	-1.5%	10.8%

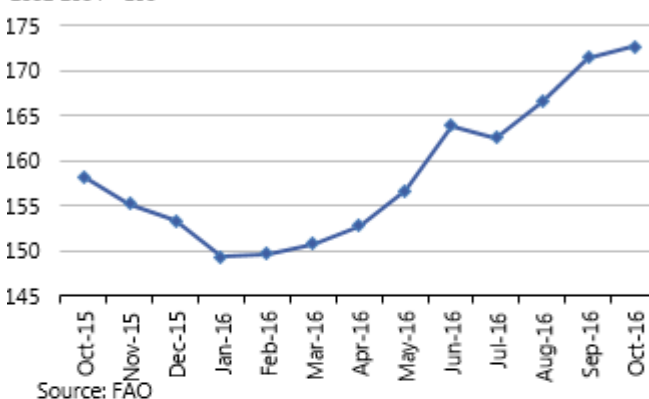
AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	October 2016 Average	Monthly Change	Annual Change
Argentina	ARS	15.16	-0.44%	-60.04%
Australia	AUD	1.31	0.31%	5.39%
Brazil	BRL	3.19	2.03%	17.79%
Canada	CAD	1.32	-1.19%	-1.35%
China	CNY	6.73	-0.88%	-5.98%
Egypt	EGP	8.88	0.00%	-11.98%
EU	EUR	0.91	-1.72%	-1.75%
India	INR	66.73	-0.04%	-2.63%
Indonesia	IDR	13,016.00	0.69%	5.46%
Japan	JPY	103.83	-1.98%	13.58%
Kazakhstan	KZT	332.03	1.79%	-20.32%
Rep. Korea	KRW	1,126.78	-1.71%	1.49%
Mexico	MXN	18.88	1.63%	-13.92%
Nigeria	NGN	304.89	2.93%	-53.25%
Philippines	PHP	48.32	-1.60%	-4.34%
Russian Fed.	RUB	62.55	2.77%	0.71%
Saudi Arabia	SAR	3.75	0.00%	-0.02%
South Africa	ZAR	13.92	0.74%	-3.15%
Thailand	THB	35.06	-1.00%	1.71%
Turkey	TRY	3.07	-3.65%	-5.16%
UK	GBP	0.81	-6.62%	-24.32%
Ukraine	UAH	25.70	1.92%	-17.30%
Viet Nam	VND	22,275.71	0.00%	0.35%

FAO Food Price Index

Oct 2015 - Oct 2016

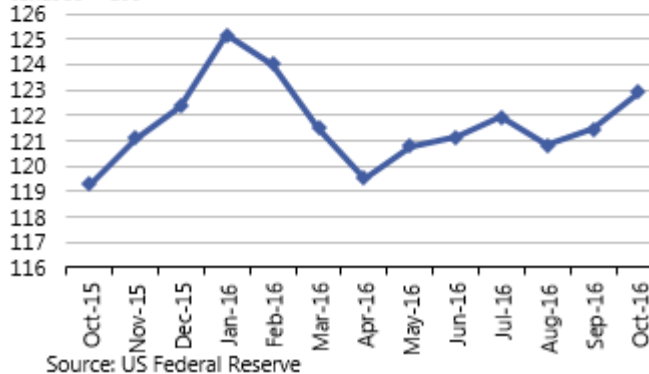
2002-2004 = 100



Nominal Broad Dollar Index

Oct 2015 - Oct 2016

Jan1980 = 100



Futures markets

Futures Prices – nearby

	Oct-16 Average	% Change	
		M/M	Y/Y
Wheat	152	+1.8%	-16.3%
Maize	138	+6.3%	-8.8%
Rice	224	+5.4%	-18.3%
Soybeans	358	+0.7%	+9.5%

Source: CME

Futures prices

Prices for wheat, maize and soybeans rose m/m, despite mounting storage pressures caused by record US maize and soybean harvests and mostly favorable harvest/planting reports elsewhere. Strong US export demand was cited as a factor in m/m price increases as well as small downward revisions of global wheat and maize production by USDA. Rice prices also rose by about 5 percent m/m because of late season adverse US weather, but faltered by month's end on projections of high global production. Wheat, maize and rice prices increased around 2, 6 and 5 percent respectively m/m, while soybean prices rose less than 1 percent m/m. Prices for wheat, maize and rice were significantly lower y/y by 16, 9 and 18 percent respectively while soybean prices were higher by over 9 percent.

Volumes and volatility

Wheat, maize and soybean volumes saw sizable increases m/m, conforming to usual seasonal patterns –ending up about par with levels a year ago. Historical volatility declined moderately for soybeans, rose for maize and remained unchanged for wheat. Implied volatility declined slightly for all three commodities m/m and y/y, despite rising prices, which usually correlate with higher volatility.

Basis levels and transport

With maize and soybean harvest close to completion, domestic basis levels for the two commodities continued weak relative to futures prices with some warehouses closing their inbound facilities due to capacity constraints. In Illinois the interior bids to local elevators were minus USD 7 and minus USD 14 (nearby futures) for maize and soybeans respectively, while in Iowa the bids for the respective crops were minus USD 14 and minus USD 32. Gulf export values were firm for maize, soybeans and soft red wheat, due in part to a jump in barge freight rates, which rose nearly 40 percent on the Illinois River in the last week of October to an approximate USD 26 per tonne transit cost from origin to gulf. The US Department of Transportation cited high soybean export shipments from the US Gulf as the primary support to barge freight increases. Export commitments of about 44 million tonnes remained well ahead of last year's levels of 31 million tonnes as did cumulative shipments

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Oct-16	Sep-16	Oct-15
Wheat (Nearby)	29.5	29.4	25.4
Maize (May)	24.7	22.6	20.9
Rice (Nearby)	22.3	33.4	20.5
Soybeans (Nearby)	18.4	20.7	17.7

(29.1 vs 21.8 million tonnes) for the respective marketing years of wheat, maize and soybeans.

Forward curves

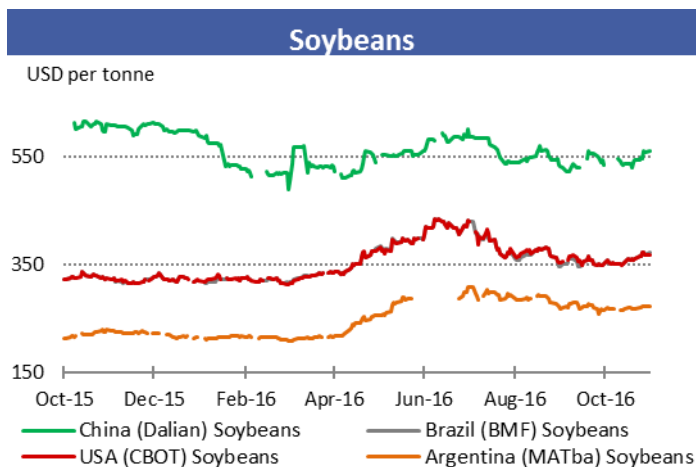
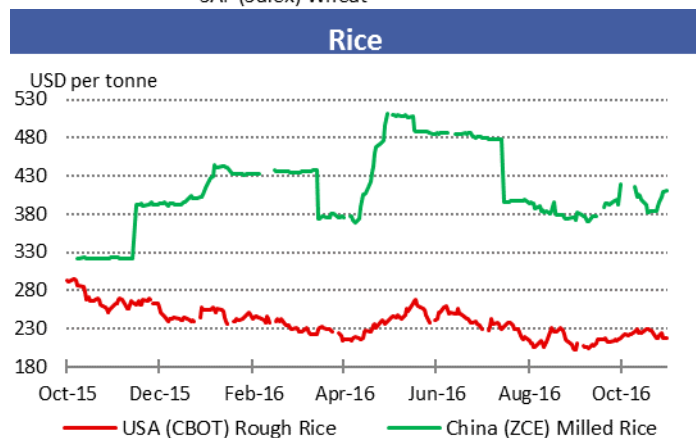
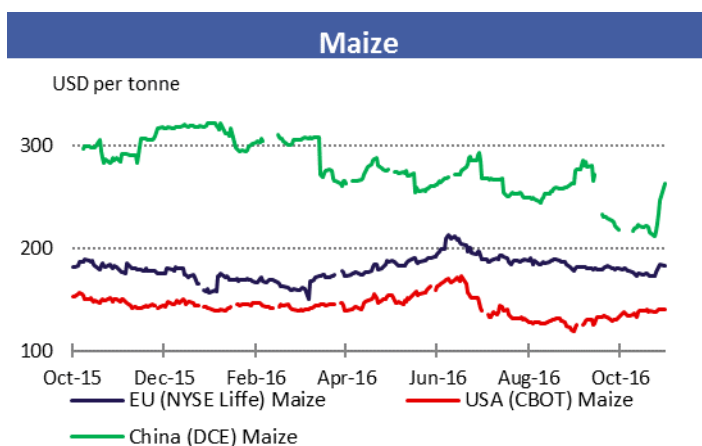
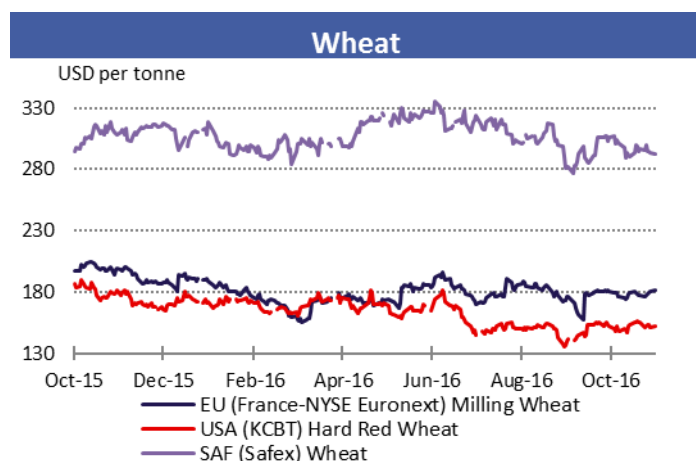
Forward curves for wheat and maize were virtually unchanged m/m, maintaining their wide upward sloping configuration (contango), while soybean curves fluctuated slightly. The November 2016/November 2017 soybean spread, which had flattened to around equal values at end of September, again displayed some small inversion. Despite weak interior basis levels, only 100 contracts were tendered for delivery on the November soybean futures on first notice day.

Investment flows

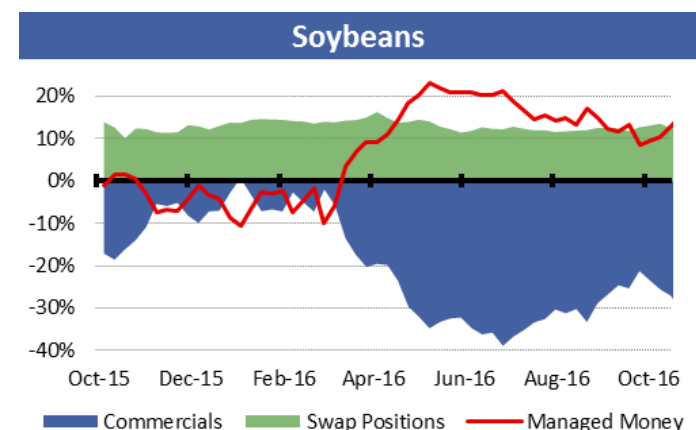
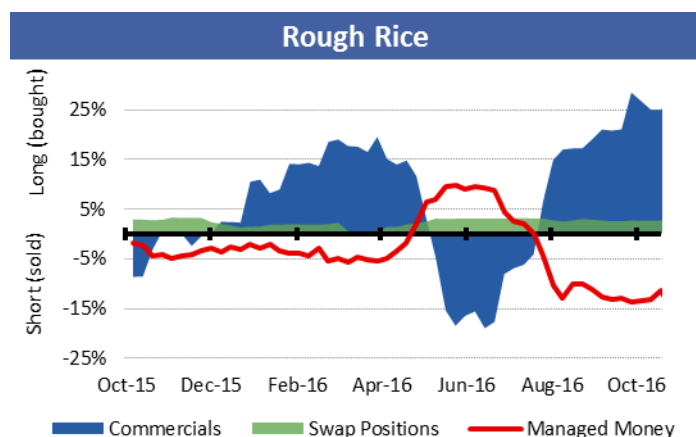
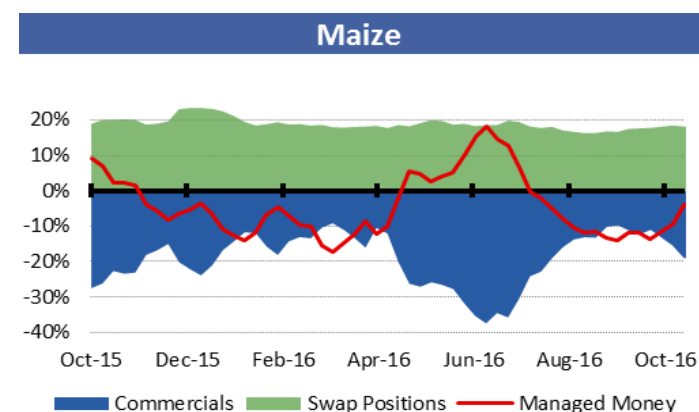
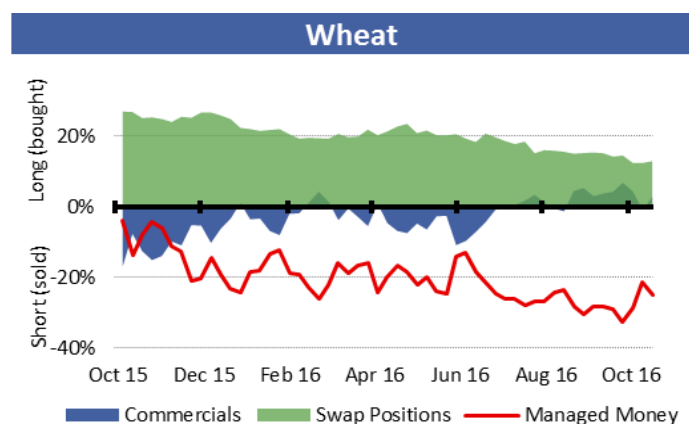
Managed money maintained its net short positions in wheat, reduced its net short in maize and added slightly to its net long position in soybeans m/m. Commercials tended to take the opposite side of these transactional flows. Viewed over the past several years, the percentage of open interest held by swaps dealers in the CME wheat market has seen a slow but significant decline. Once comprising almost 40 percent of the net long open interest and over 200,000 contracts in absolute terms (2011), swaps dealers' net long positions have dwindled to about 13 percent of the wheat open interest and dipped under 70,000 contracts. During the 2007/08 food price crisis, these dealers gained prominence by offering securities to retail investors that tracked the price of commodity futures contracts but typically included high expense ratios. Multi-year price declines and additional losses created by "rolling" long positions forward in a steeply upward sloping configuration (contango) in wheat have likely persuaded investors to leave this investment vehicle.

Market indicators

Daily quotations from leading exchanges - nearby futures

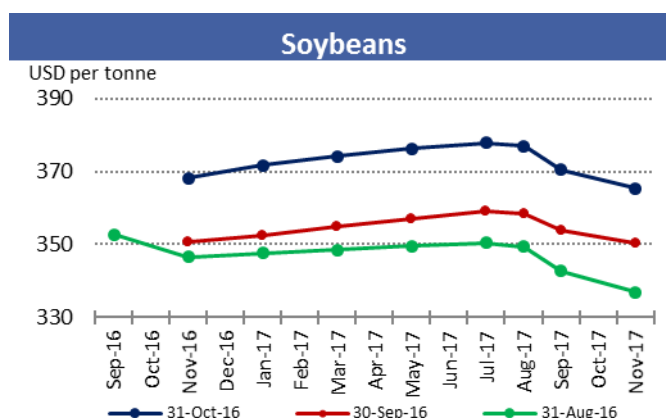
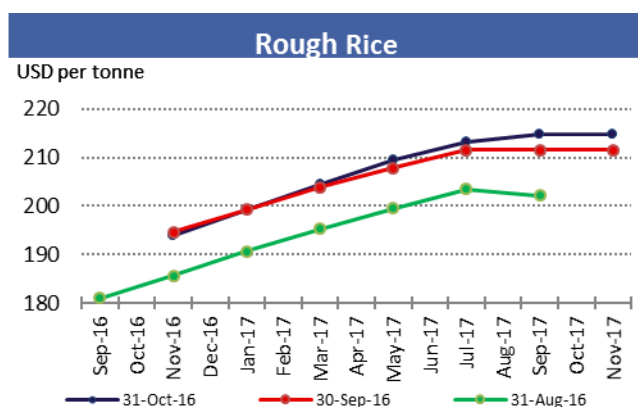
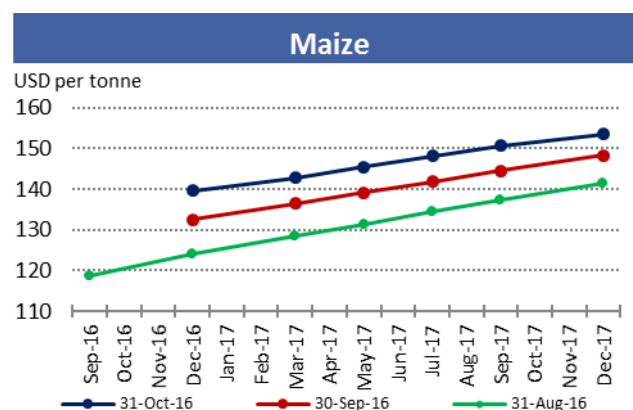
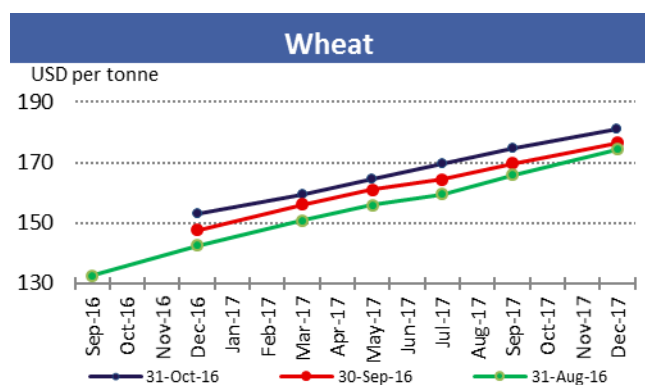


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

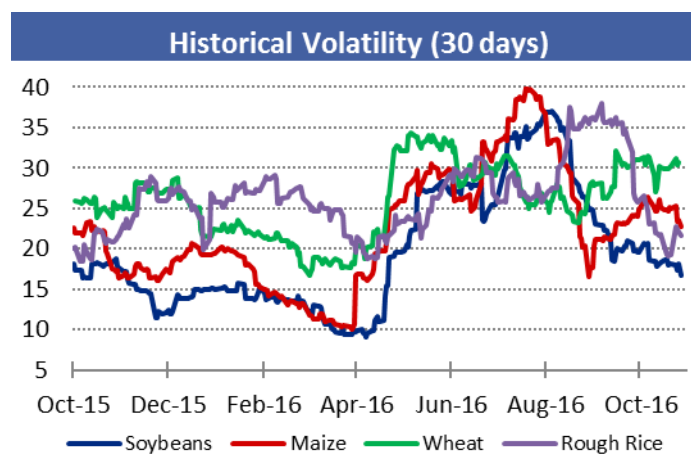
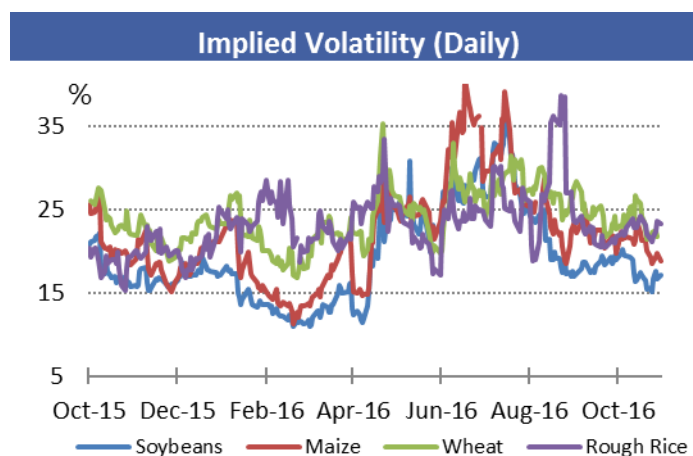


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Monthly US ethanol update

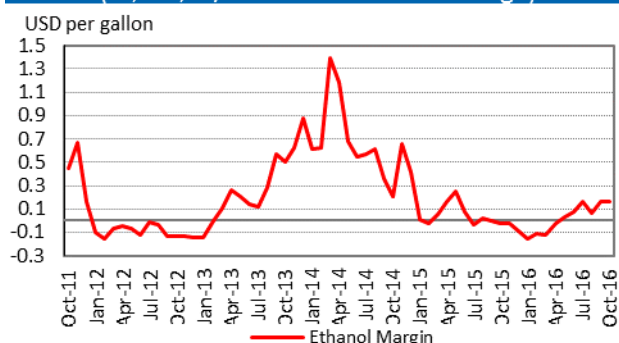
- Ethanol **production** was up m/m and the annualized production pace continues to exceed 15 billion gallons.
- Ethanol **margins** were up only fractionally in October despite a jump in ethanol prices which followed oil and gasoline prices higher through September and into October.
- At the same time, **DDGs receipts** fell despite the jump in maize prices, with prices of DDGs now at a discount (on a per tonne basis) to maize.
- Nearby **ethanol futures** continue to trade at a premium to gasoline. While historically this had been rare, this situation has persisted for much of the past year.
- EPA** (US Environmental Protection Agency) is scheduled to release in November the final biofuel mandate levels for the 2017 calendar year and, additionally, the 2018 biodiesel mandate levels.

Spot prices IA, NE and IL/eastern corn belt average	Oct 2016*	Sep 2016	Oct 2015
Maize price (USD per tonne)	126.37	128.47	144.09
DDGs (USD per tonne)	109.80	119.29	117.97
Ethanol price (USD per gallon)	1.55	1.45	1.50
Nearby futures prices CME, NYSE			
Ethanol (USD per gallon)	1.57	1.49	1.56
RBOB Gasoline (USD per gallon)	1.49	1.4	1.35
Ethanol/RBOB price ratio	105.6%	106.9%	115.8%
Ethanol margins IA, NE and IL/eastern corn belt average, USD per gallon)			
Ethanol receipts	1.55	1.45	1.5
DDGs receipts	0.34	0.37	0.36
Maize costs	1.17	1.11	1.33
Other costs	0.55	0.55	0.55
Production margin	0.17	0.16	-0.02
Ethanol production (million gallons)			
Monthly production total	1,305	1,258	1,266
Annualized production pace	15,366	15,303	14,904

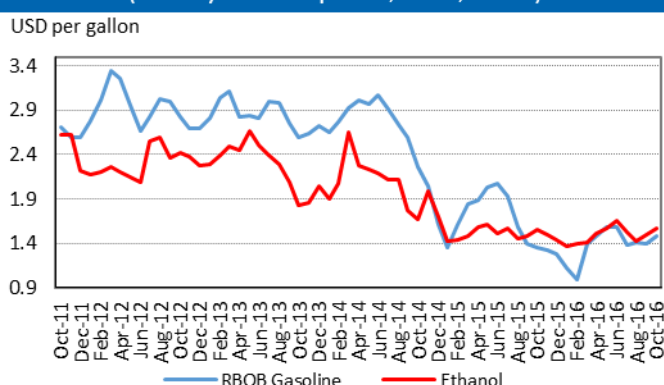
Based on USDA data and private sources

* Estimated using available weekly data to date.

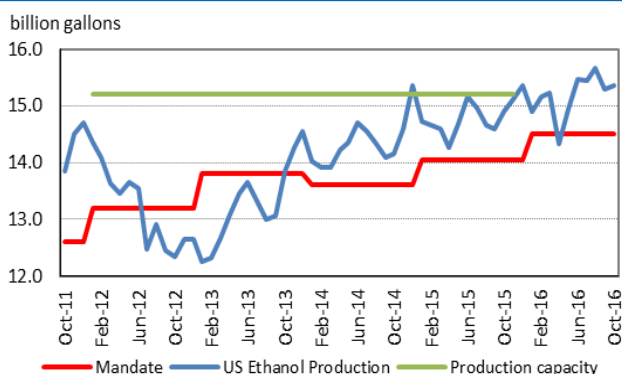
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

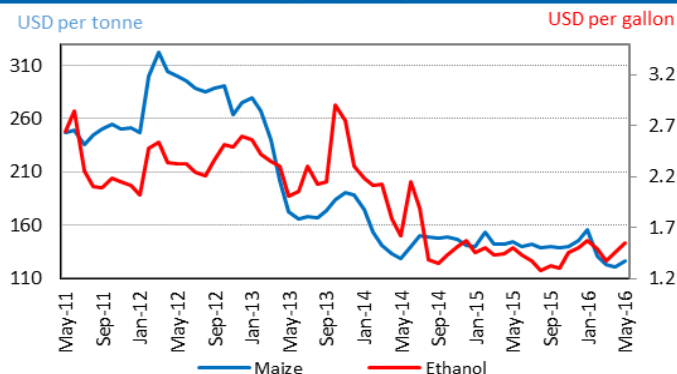


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

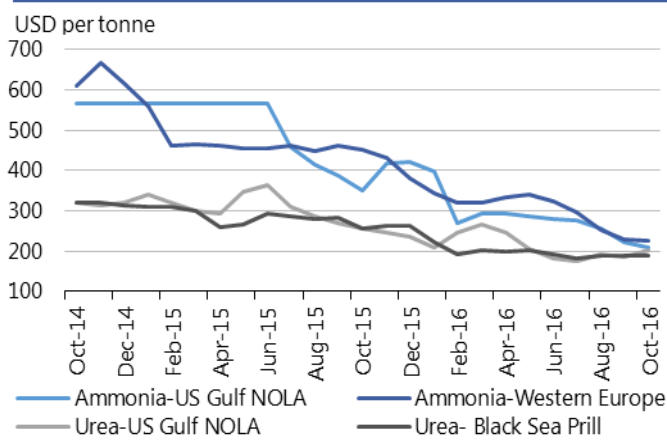
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

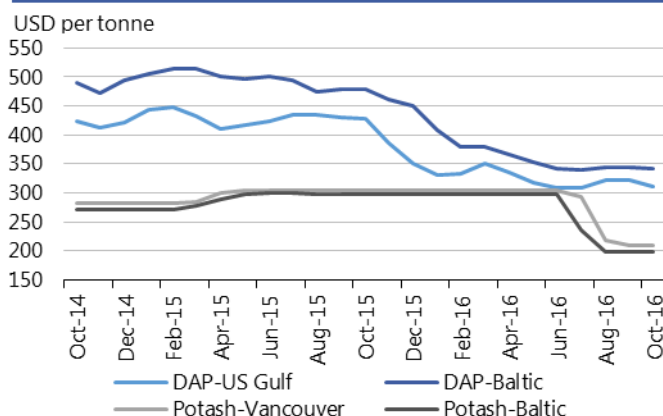
Fertilizer outlook

Ammonia and Urea (Spot prices)



Note: calculations based on Bloomberg.

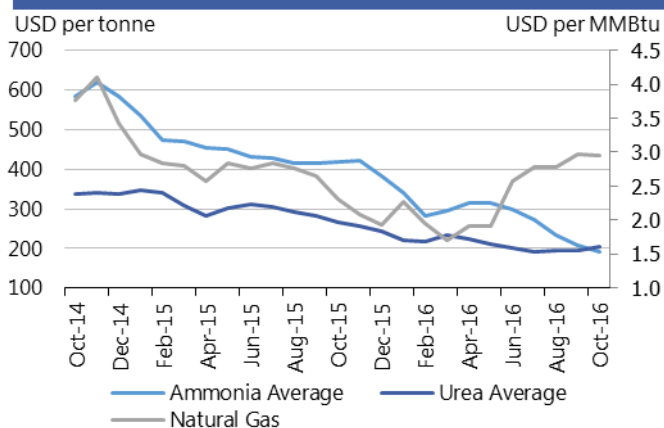
Potash and Phosphate (Spot prices)



Note: calculations based on Bloomberg.

- The average price of **Ammonia** continued its downward trend. Warmer-than-expected weather has delayed the application of fertilizer throughout the fall.
- The average price of **Urea** remained unchanged. The decrease in production from Chinese companies driven by a hike in coal prices was offset by an increase in supply in the US due to relatively low gas prices.
- DAP** m/m prices also remained unchanged both in the US Gulf and in the Baltic. Despite moves to limit the supply in the upcoming months in Morocco, slow demand continues to put downward pressure on prices.
- Potash** m/m prices held steady despite an increase of shipments to Latin America ahead of Brazil's main planting season and an expected record harvest in North America. The settlement of contracts in China and India has increased purchases in those regions but not enough to strengthen global demand.
- The m/m price of **Natural Gas** remained constant. The US Energy Information Administration expects a decrease in annual production to the lowest level since 2005.

Ammonia Average, Urea Average and Natural Gas (Spot prices)



Note: Natural gas is used as major input to produce nitrogen-based fertilizers. Own elaboration based on Bloomberg.

Region	October average	October std. dev	% change last month	% change last year	12-month high	12-month low
Ammonia-US Gulf NOLA	210.0	-	-0.1	-0.4	565.0	210.0
Ammonia-Western Europe	225.0	-	-	-0.5	667.5	225.0
Urea-US Gulf	201.0	7.0	0.1	-0.2	363.6	174.4
Urea-Black Sea	190.0	-	-	-0.3	320.0	183.0
DAP-US Gulf	311.3	4.8	-	-0.3	447.0	309.0
DAP-Baltic	341.3	4.8	-	-0.3	515.0	340.0
Potash-Baltic	198.0	-	-	-0.3	300.0	198.0
Potash-Vancouver	209.0	-	-	-0.3	305.0	209.0
Ammonia Average	191.3	-	-0.1	-0.5	617.8	191.3
Urea Average	203.3	4.0	-	-0.2	347.6	192.8
Natural Gas	3.0	0.2	-	0.3	4.1	1.7

Source: Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

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2016 AMIS Market Monitor Release Dates

04 February, 03 March, 07 April, 05 May, 02 June, 07 July, 08 September, 06 October, 10 November, 08 December

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